# A Case for Abandoning the Federal Minimum Wage

**By Steven J. Capolarello**

For the past few years there has been a call to raise the Federal Minimum Wage to $15.00 per hour. The purpose of this article is to remind the reader that a wage earner receives the higher of the Federal, State, City, and in many cases the private sector company's minimum wage. But more importantly, this article displays in chart form the strong correlation between each state's cost of living and its minimum wage. Given the strong disparity in the cost of living amongst our 50 states, one can logically conclude that the imposition of a Federal "one-size-fits-all" minimum wage is probably inappropriate and that the minimum wage decision should be disaggregated to the States, Cities and Local Municipalities.

To make the case, Chart 1 below sorts the states in ascending order of each state's minimum wage (as read off of the scale provided on the right). The analysis excludes Mississippi, Tennessee, Alabama, Louisiana and South Carolina in that they have no state minimum wage. The analysis also excludes the District of Columbia in that it's not a state.

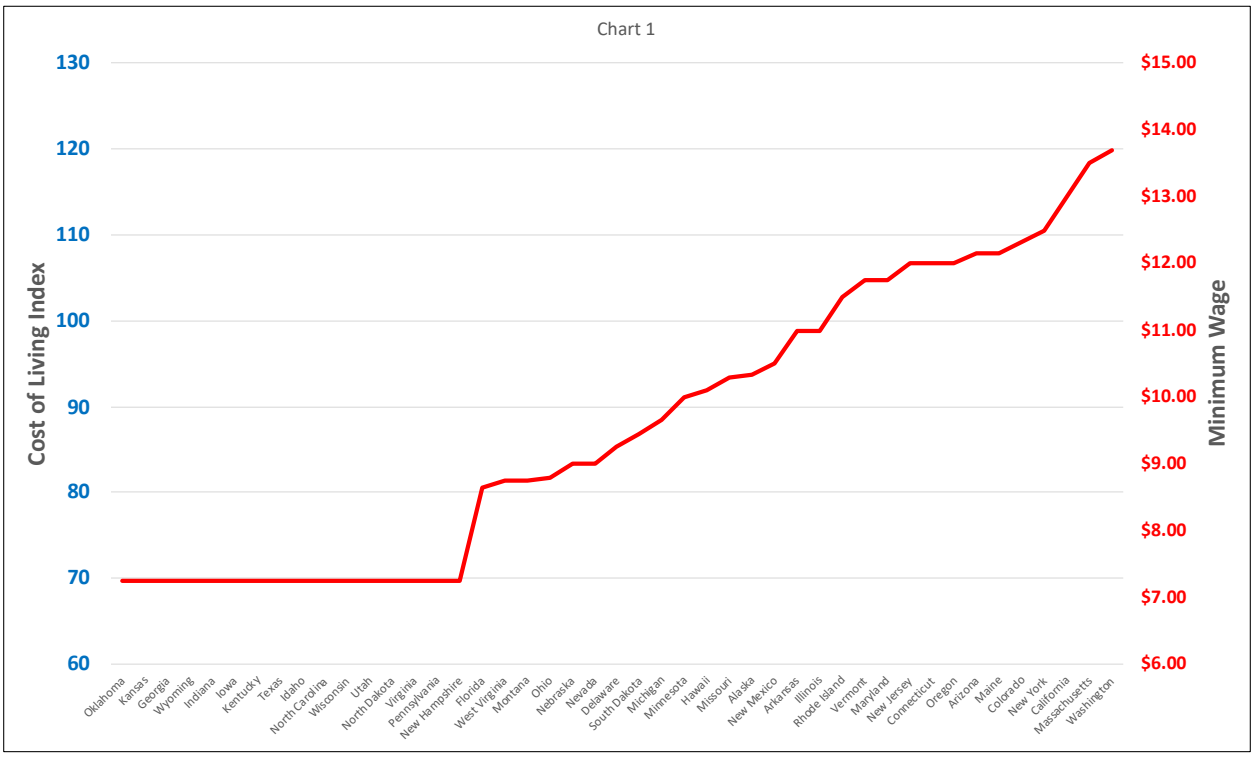




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Chart 2 juxtaposes each state's cost of living index[1] as read off of the scale on the left.

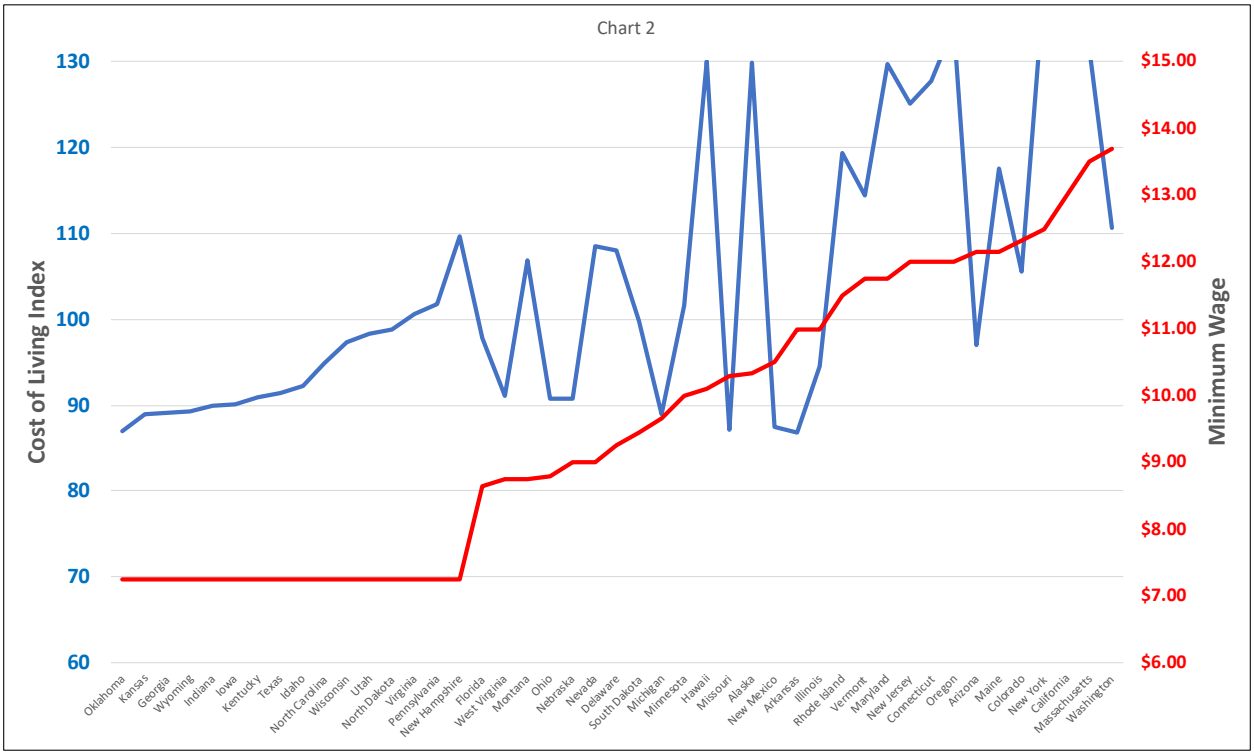
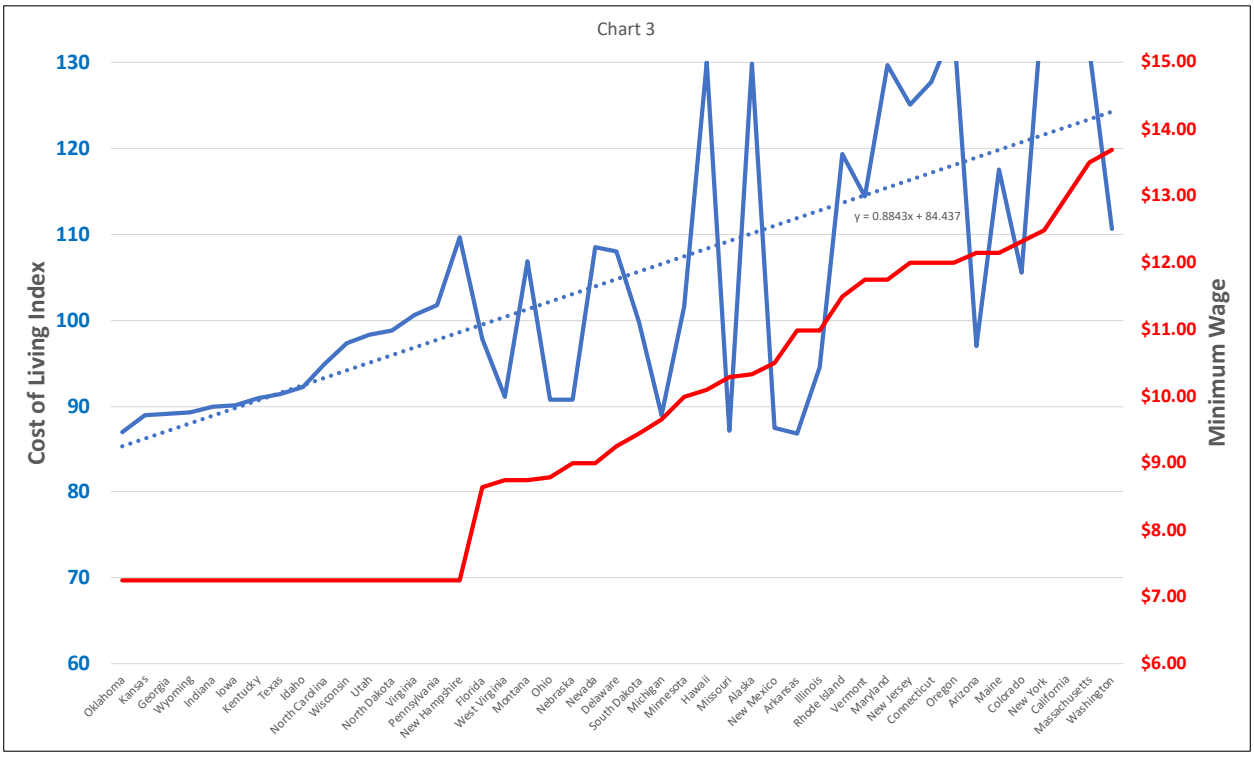



Chart 3 inserts a linear trend line for the state's cost of living.




[1] Cost of Living Data Series | Missouri Economic Research and Information Center



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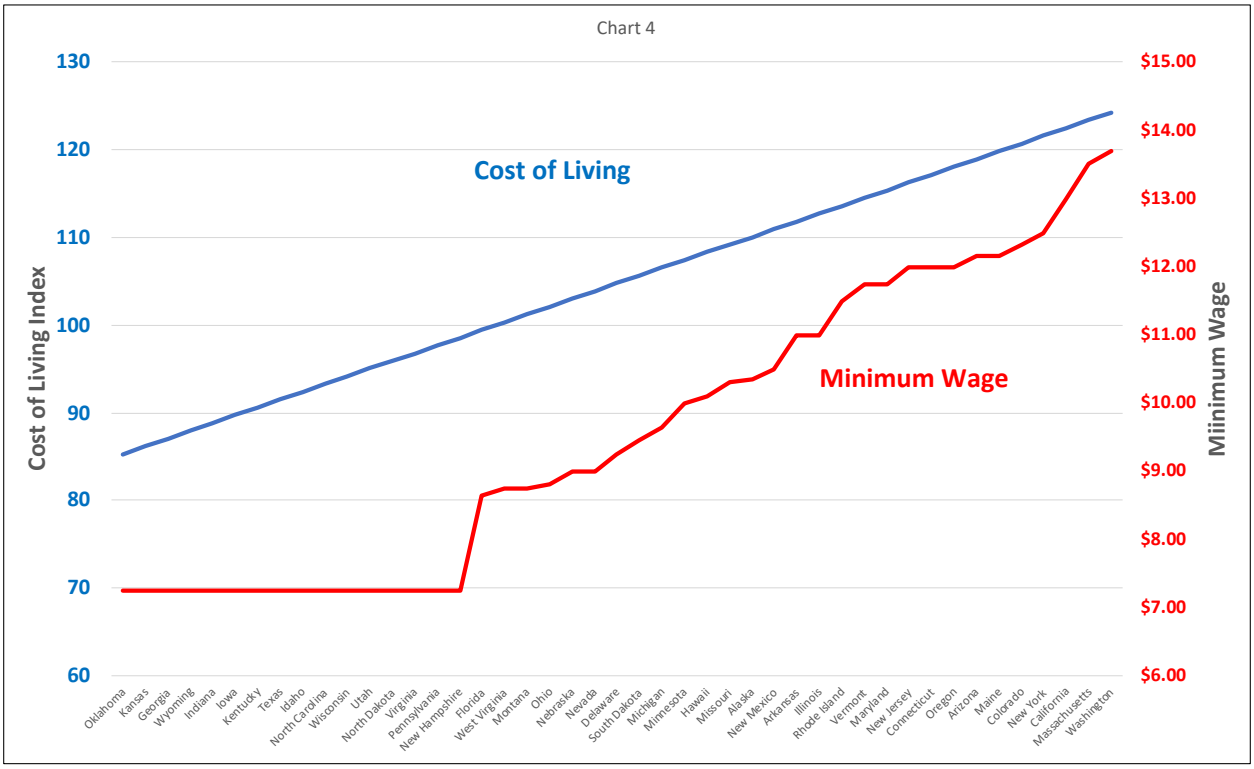
For better visualization, Chart 4 simply compares the state's minimum wage opposite the cost of living trend line.




The point of chart 4 is to illustrate that those states with the higher cost of living naturally have a higher state minimum wage, whereas low cost of living states have a lower minimum wage.



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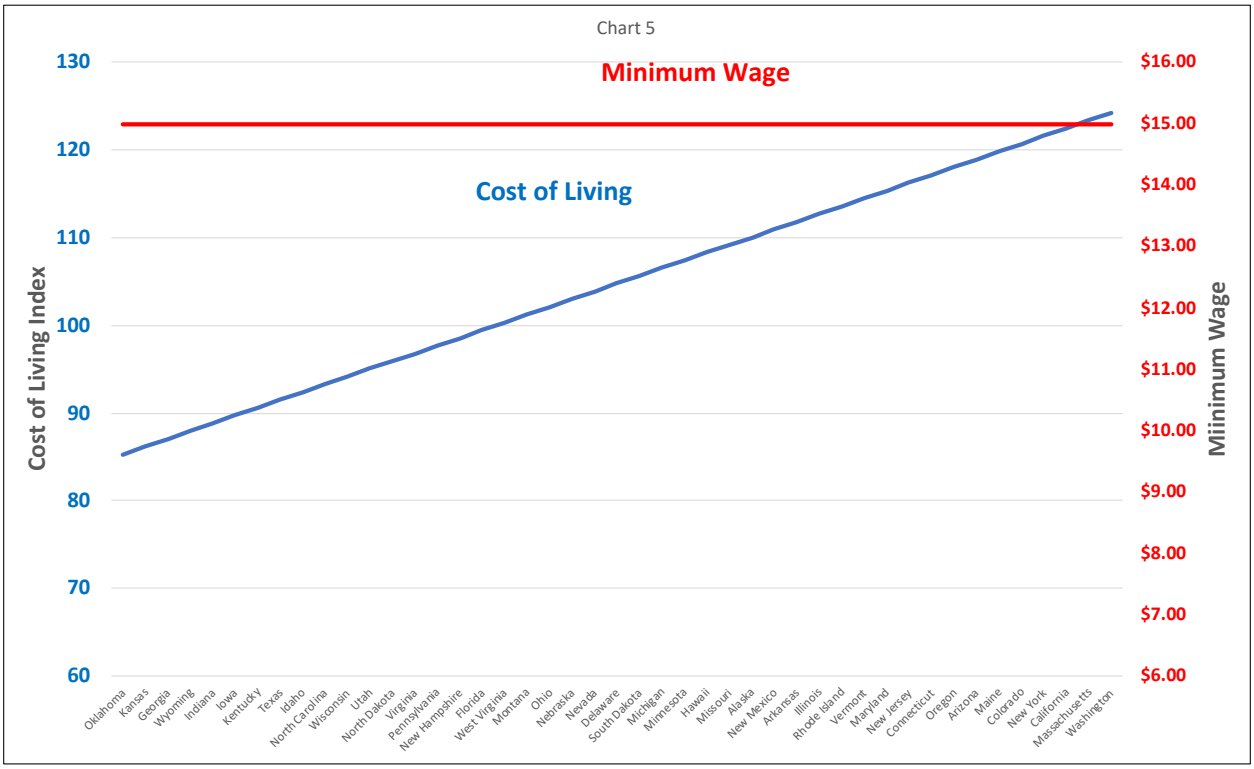
Chart 5 then illustrates the huge economic discrepancy if the Federal Government were to impose a $15.00 per hour Federal Minimum Wage on each of the states, given the vast differences in their cost of living. Wage earners in states like New York, California, Massachusetts and Washington would be marginally better off since their state minimum wage rates are already approaching $15.00 per hour. However, wage earners in many other states, especially those in low cost of living states like Oklahoma, Kansas and Georgia would have a huge economic windfall.




For perspective, let's compare California to Kansas. The cost of living index in California is 151.7 versus 89.0 in Kansas i.e. the cost of living in California is 70% higher than in Kansas. Adjusting for cost of living, a wage earner in Kansas being paid a Federal Minimum Wage of $15.00 per hour, has the purchasing power of someone earning $25.57 per hour in California ($15.00 x 151.7/89.0). That's quite a windfall.

Unfortunately, as anyone who's studied economics knows, when the price goes up, the demand for that good or service goes down. The price in this case is the wage rate. Thus, although many people in Kansas will be better off, many regretfully will lose their jobs at this higher wage rate i.e., their wage rate goes from $7.25 to $0.00, not to mention the destruction of many small businesses who cannot afford a workforce at $15.00.

The point being made here is that given the wide disparity in the cost of living amongst the states, the decision as to what the minimum wage should be ought to be made at the State and Local level and that a one-size-fits-all Federal Minimum Wage is irrational and potentially destructive.



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